COMMERCIAL LEASE AGREEMENT

Brooklyn Bridge Park

THIS LEASE AGREEMENT (the "Lease") is made and entered into as of this 11th day of March, 2026, by and between the **Brooklyn Bridge Park Development Corporation**, a subsidiary of the New York State Urban Development Corporation d/b/a Empire State Development, having an office at 1 Centre Street, New York, NY (hereinafter referred to as "Landlord"), and **Walmart Inc.**, a Delaware corporation having its principal place of business at 702 S.W. 8th Street, Bentonville, AR 72716 (hereinafter referred to as "Tenant").

ARTICLE 1: THE PREMISES

1.1 Demised Premises. Landlord hereby leases to Tenant, and Tenant hereby hires from Landlord, the buildings and structures located in the DUMBO/Fulton Ferry section of Brooklyn, identified as **Block 26, Part of Lot 1**. The premises consist of:

- **The Empire Stores:** Seven (7) contiguous historic shell buildings containing an aggregate gross building area (GBA) of **327,696± square feet**.
- **The Tobacco Warehouse:** A landmarked structure with an interior footprint of **25,800± square feet**.
- **Pedestrian Pathway:** An 8,637± square foot portion of former Old Dock Street.

1.2 Condition of Premises. Tenant acknowledges the "as-is" condition of the structures, specifically the 2013 Appraisal findings of structural instability in the northwest corner and the ground-floor flood risk of **4 to 5 feet of water**. Tenant accepts responsibility for all structural reinforcements required to support high-density retail and automated fulfillment equipment.

ARTICLE 2: LEASE TERM

2.1 Initial Term. The initial term of this Lease shall be for **ninety-nine (99) years**, commencing on July 1, 2026 (the "Commencement Date") and expiring on June 30, 2125. **2.2 Renewal Options.** Provided Tenant is not in default, Tenant shall have **two (2) options to extend** the Lease for an additional **twenty-five (25) years each**, potentially extending the total occupancy to 149 years.

ARTICLE 3: RENT AND FINANCIAL OBLIGATIONS

3.1 Base Rent. Tenant shall pay Base Rent according to the following schedule (hypothetical figures for this draft):

- **Years 1–5 (Construction/Renovation):** $75,000.00 per month ($900,000.00 annually).
- **Years 6–15:** $1,250,000.00 per month ($15,000,000.00 annually).
- **Years 16–25:** $1,562,500.00 per month ($18,750,000.00 annually).
- **Years 26–99:** Base Rent shall increase by **3.0% annually** on each anniversary of the Commencement Date.

3.2 Percentage Rent. In addition to Base Rent, Tenant shall pay Landlord **1.5% of Gross Sales** generated from the "Walmart Brooklyn Market" retail operations exceeding an annual natural breakpoint of $250,000,000.00.

3.3 Triple Net (NNN) Structure. This is an absolute Triple Net Lease. Tenant is responsible for 100% of Taxes, Insurance, and Maintenance.

ARTICLE 4: USE COVENANTS (WALMART SPECIFIC)

4.1 Permitted Use. The Premises shall be used for a "Regenerative Urban Retail and Logistics Hub," consisting of:

- **Walmart Creative Office (Upper Floors):** Northeast regional headquarters for Walmart's e-commerce and sustainability divisions.
- **Walmart Urban Market (Ground/2nd Floor):** A boutique, high-end grocery and general merchandise retail experience tailored for the DUMBO demographic.
- **Automated Micro-Fulfillment Center (Lower Level/Interior):** High-tech robotic sorting for "Last-Mile" delivery via electric cargo bikes and EVs.

4.2 Prohibited Use. Tenant shall not operate a "Warehouse Club" (e.g., Sam's Club) or any use that involves the outdoor storage of heavy shipping containers. All logistics operations must be contained within the interior of the Empire Stores.

COMMERCIAL LEASE AGREEMENT (Section 2 of 12)

This section outlines the rigorous construction requirements for Walmart's "Regenerative Urban Hub," focusing on preserving the landmarked 1887 shell while integrating modern retail technology and Walmart's global sustainability mandates.

ARTICLE 5: LANDMARK REHABILITATION & "PROJECT GIGATON" COMPLIANCE

5.1 Preservation of Historic Fabric. Tenant (Walmart) acknowledges that the Empire Stores and Tobacco Warehouse are essential historic assets. All renovations must comply with the **Secretary of the Interior's Standards for Rehabilitation**.

- **Exterior Masonry:** Walmart shall engage specialized historic masonry consultants to stabilize and repoint the schist and brick walls using lime-based mortar matching the 19th-century original.
- **Fenestration:** All windows must be custom-fabricated to match the historic multi-lite timber frames observed in the 2013 Goodman-Marks Appraisal photographs.

5.2 Walmart "Project Gigaton" Integration. As part of Walmart's commitment to avoid one billion metric tons of greenhouse gases, the renovation shall include:

- **Renewable Energy:** Installation of a non-visible, high-efficiency solar array on the Empire Stores' roof (estimated 150,000 sq. ft. of coverage), subject to Landmarks Preservation Commission (LPC) sight-line approval.
- **Geothermal Cooling:** Installation of a closed-loop geothermal heat pump system utilizing the proximity to the East River for highly efficient temperature regulation of the retail and office floors.

ARTICLE 6: STRUCTURAL STABILIZATION & THE "WALMART VAULT"

6.1 Remediation of Shifting and Sinking. Tenant acknowledges the reports of the building shifting towards the northwest.

- **Underpinning:** Walmart shall perform deep-pile underpinning of the northwest corner of Building 7 to permanently arrest settlement.
- **Seismic Upgrades:** Given the heavy load-bearing requirements of retail shelving and automated fulfillment robots, Tenant shall install a secondary internal steel "exoskeleton" that supports the floors without transferring weight to the historic masonry walls.

6.2 The "Walmart Vault" (Tobacco Warehouse). * Design: Within the 24-foot-high landmarked walls of the Tobacco Warehouse, Walmart shall construct a glass-enclosed, two-story "Community Pavilion."

- **Floor 1:** A "Walmart Health" clinic and pharmacy serving the DUMBO and Brooklyn Heights communities.
- **Floor 2:** A community event space and digital literacy lab, available for public use 40 hours per week at no cost, as part of the public benefit mandate.

ARTICLE 7: CONSTRUCTION COSTS AND PHASING

7.1 Estimated Hard Costs. Tenant's projected renovation budget for the "Vanilla Box" plus specialized retail/logistics infrastructure is as follows (hypothetical):

- **Empire Stores Core & Shell:** $95,000,000.00
- **Tobacco Warehouse Preservation:** $12,500,000.00
- **Automated Fulfillment Infrastructure:** $45,000,000.00
- **Total Projected Capital Expenditure: $152,500,000.00**

7.2 Construction Schedule.

- **Phase I (Months 1-18):** Structural stabilization and flood-proofing.
- **Phase II (Months 19-36):** Installation of MEP systems, elevators (7 units), and "Project Gigaton" solar/geothermal systems.

- **Phase III (Months 37-60):** Retail build-out, office finishes, and commissioning of the automated fulfillment center.

ARTICLE 8: FLOOD RESILIENCE COVENANTS

8.1 "Flood-Dry" Strategy. Because the ground floors are prone to 5-foot inundation, Walmart shall utilize a "dry flood-proofing" strategy for the Empire Stores. This includes:

- **Removable Flood Gates:** High-strength aluminum barriers to be deployed at all 79,650± square feet of ground-floor openings upon a "Storm Surge Warning."
- **Sealed Foundations:** Application of crystalline waterproofing to the foundation walls and slabs to prevent hydrostatic pressure from cracking the 19th-century floors.

COMMERCIAL LEASE AGREEMENT (Section 3 of 12)

This section details the environmental responsibilities, flood mitigation requirements, and insurance obligations necessitated by the property's waterfront location, historical condition, and Walmart's "Regenerative Urban Hub" operational profile.

ARTICLE 9: ENVIRONMENTAL PROVISIONS

9.1 Environmental Status. Tenant acknowledges receipt of the **Phase I Environmental Site Assessment** (AKRF, Inc., December 2003) and the **Phase II Environmental Site Assessment** (AKRF, Inc., April 2005). These reports describe the presence of specific soil, subsoil, and ground water quality issues, as well as asbestos and lead paint within the Empire Stores shell.

9.2 Remediation Responsibility. * **Landlord's Warranty:** Landlord warrants that any *known* adverse environmental conditions existing as of the Commencement Date shall be remediated at Landlord's expense.

- **Extraordinary Assumption:** This Lease is subject to the **Extraordinary Assumption** that any currently unknown contamination discovered during the renovation will be fully remediated by the owner to allow for the intended commercial and retail use.
- **On-going Compliance:** Tenant (Walmart) shall, at its sole cost and expense, comply with all Environmental Laws. Given the nature of retail and logistics operations, Walmart must implement specialized protocols for the storage of any consumer-grade chemicals or vehicle fluids for its "Last-Mile" EV fleet, in strict accordance with NYC Fire Department and Department of Buildings regulations.

ARTICLE 10: FLOOD MITIGATION AND WATERFRONT RISK

10.1 Acknowledgment of Historical Flood Events. Tenant acknowledges that the Premises are located in a high-risk flood zone proximate to the East River and were engulfed by **four to five feet of water** during Superstorm Sandy.

10.2 Mandatory Resilience Standards. * **FEMA Compliance:** The Premises are located in a Special Flood Hazard Area (SFHA) where the National Flood Insurance Program (NFIP) management regulations must be enforced.

- **Walmart's "Dry Flood-Proofing" Strategy:** As part of its renovation, Walmart must incorporate flood-mitigation systems. All mechanical, electrical, and HVAC systems must be located above the **Post-Sandy Advisory Base Flood Elevation**.
- **Retail Recovery:** Ground floor "Urban Market" finishes must utilize high-durability, water-resistant materials (e.g., polished concrete, marine-grade cabinetry) suitable for rapid cleaning following a flood event.

ARTICLE 11: INSURANCE REQUIREMENTS

11.1 Tenant's Insurance Obligations. Due to the waterfront risk and the significant capital expenditure of the **$152.5M renovation**, Walmart shall maintain the following coverage:

- **All-Risk Property Insurance:** Coverage for the full replacement cost of the completed Empire Stores and Tobacco Warehouse improvements.
- **Primary and Excess Flood Insurance:** Mandatory participation in the NFIP, supplemented by "Excess Flood" coverage to protect Walmart's high-value automated micro-fulfillment equipment.
- **Marine Risk & Seepage/Pollution Liability:** Specialized coverage for the unique risks of operating a logistics hub on a historic pier/upland site.
- **Commercial General Liability (CGL):** Limits of no less than **$50,000,000.00 per occurrence**, naming the Landlord and the Brooklyn Bridge Park Corporation as Additional Insureds.

ARTICLE 12: UTILITIES AND SERVICE SYSTEMS

12.1 Utility Infrastructure. Tenant acknowledges that current utility connections are old, deteriorated, and non-functional.

- **Connection Responsibility:** Walmart is responsible for installing all-new utility connections to the NYC DEP and Con Edison mains located beneath Water Street.
- **Solar Integration:** Consistent with Article 5, Walmart shall integrate a building-wide electrical grid capable of managing both utility power and the surplus energy generated by the rooftop solar array.

ARTICLE 13: USE COVENANTS (RETAIL & LOGISTICS)

13.1 Walmart Urban Market. Tenant shall operate a high-end, urban-format retail market on the ground and second floors of the Empire Stores.

- **Product Mix:** The market shall emphasize fresh produce, artisanal local Brooklyn goods, and a "Walmart Health" pharmacy.
- **Aesthetic Standard:** To maintain the character of DUMBO, Walmart agrees to waive its standard blue-and-yellow exterior signage in favor of a "Landmark-Compliant" bronze or matte-black "Walmart Urban" blade sign, subject to LPC approval.

13.2 Automated Micro-Fulfillment Center (MFC). Tenant is permitted to install an automated robotic retrieval system within the interior core of the Empire Stores (Buildings 3 and 4).

- **Purpose:** This system shall facilitate rapid delivery for online orders within a 3-mile radius of the Park.
- **Volume Limits:** Throughput is limited to 4,500 orders per day to ensure that delivery traffic does not overwhelm Water Street.

ARTICLE 14: SUBLEASING AND "CREATIVE OFFICE" MANDATE

14.1 Third-Party Creative Office Space. Consistent with the 2013 Appraisal's "Highest and Best Use" analysis, Tenant shall dedicate no less than **150,000 square feet** of the upper floors of the Empire Stores for sublease to "Creative Office" tenants (e.g., technology startups, architectural firms, or digital media agencies).

14.2 Walmart's Regional HQ. Walmart shall occupy approximately 50,000 square feet of the upper floors for its Northeast Regional Headquarters.

14.3 Control of Sub-Tenants. Walmart shall have the right to select sub-tenants without Landlord's prior consent, provided that:

- The sub-tenant's use is compatible with a Class A office environment.
- No sub-tenant shall be a direct competitor of the Landlord (e.g., another municipal development agency).
- No sub-tenant shall engage in "Discount Retail" that conflicts with the premium "Urban Market" brand established for the site.

ARTICLE 15: THE TOBACCO WAREHOUSE "CULTURAL COVENANT"

15.1 Cultural Use Requirement. Notwithstanding Walmart's primary tenancy, the Tobacco Warehouse site (25,800± sq. ft.) must be operated for "Public and Cultural Use." **15.2 Walmart Community Pavilion.** Walmart shall fund the operations of a non-profit cultural partner (the "Cultural Sub-Tenant") to provide year-round programming, including:

- **Digital Literacy:** Free coding and technology workshops for Brooklyn youth.
- **Arts Programming:** Seasonal performances and gallery exhibitions within the preserved 24-foot historic walls. **15.3 Rent Subsidy.** Walmart shall provide the Tobacco

Warehouse space to the Cultural Sub-Tenant at a rental rate of **$0.00 (Zero Dollars)** per year, with Walmart assuming all NNN expenses for this portion of the property as a community benefit.

ARTICLE 16: LOGISTICS & CURBSIDE MANAGEMENT

16.1 Last-Mile Fleet. Walmart shall utilize a 100% zero-emission fleet for all deliveries originating from the Premises. This includes electric cargo bicycles and electric delivery vans.
16.2 Loading Dock Operations. All loading and unloading must occur within the interior footprint of the Empire Stores (using the former coffee plant loading bays). No staging of Walmart delivery vehicles is permitted on the Pedestrian Pathway or New Dock Street.

ARTICLE 17: MAINTENANCE AND REPAIRS (THE "WALMART STANDARD")

17.1 Tenant's Comprehensive Obligation. Tenant shall, at its sole cost and expense, maintain the Premises (Empire Stores and Tobacco Warehouse) in a "First-Class Urban Retail and Office" condition. This obligation includes:

- **Historic Shell Maintenance:** Annual inspection and "tuck-pointing" of the 19th-century schist and brick masonry to prevent water infiltration.
- **Structural Monitoring:** Given the known shifting in the northwest sector, Tenant shall maintain a digital structural monitoring system (piezometers and tiltmeters) and provide Landlord with quarterly stability reports.
- **Retail Interiors:** Maintenance of all high-traffic retail flooring, internal glass partitions, and the automated fulfillment robotic grid.

17.2 Capital Replacements. As a 99-year lease, Walmart acknowledges that it will likely replace every major building system at least three to four times during the Term.

- **Life Cycle Management:** Tenant shall replace HVAC, elevators, and roofing systems at the end of their useful lives without any contribution from the Landlord.
- **Escrow for Historic Roof:** Because of the specialized nature of the historic roof and solar integration, Walmart shall maintain a **$5,000,000.00 Capital Reserve Account** specifically for roof integrity.

ARTICLE 18: TAXES, PILOT, AND MUNICIPAL ASSESSMENTS

18.1 Real Estate Taxes. Tenant shall be responsible for 100% of all Real Estate Taxes.

- **Valuation Base:** Based on the "As-Complete" market value of **$135,000,000.00** established in the appraisal, the annual tax liability is estimated at **$14,400,000.00**.
- **PILOT Program:** In the event the City of New York transitions the property to a Payment In Lieu of Taxes (PILOT) structure to support Brooklyn Bridge Park operations, Tenant shall pay the PILOT amount in the same manner as Real Estate Taxes.

18.2 Special Assessments. Tenant shall pay its pro-rata share (based on land area) of any special assessments for the "Waterfront Protection District" or the DUMBO Business Improvement District (BID).

ARTICLE 19: OPERATING EXPENSES & PARK MAINTENANCE

19.1 Pro-Rata Park Share. The Premises represent approximately **15.4%** of the total land area of Phase 1 of the Brooklyn Bridge Park. Tenant shall pay its Pro-Rata Share of "Park Operating Expenses," which include:

- **Common Area Security:** 24/7 patrolling of the East River waterfront.
- **Landscape Management:** Maintenance of the "Green Infrastructure" and public lawns adjacent to the Empire Stores.
- **The Pedestrian Pathway:** Walmart is responsible for 100% of the maintenance, lighting, and snow removal for the 8,637± sq. ft. Pedestrian Pathway (Old Dock Street).

ARTICLE 20: UTILITIES AND DATA INFRASTRUCTURE

20.1 High-Capacity Service. To support the automated micro-fulfillment center and the "Walmart Urban Market," Tenant shall install and pay for:

- **Electrical:** A dedicated 6,000-amp service from Con Edison.
- **Data/Fiber:** Redundant 10-gigabit fiber-optic lines to support Walmart's global inventory management systems.
- **Water/Sewer:** Direct billing via the NYC Department of Environmental Protection (DEP).

20.2 Waste Management. Tenant shall maintain an "Interior Trash Compactor" room, climate-controlled to 55°F to prevent odors. Waste pickup must occur between the hours of 11:00 PM and 5:00 AM to avoid disrupting park visitors or local DUMBO traffic.

ARTICLE 21: EVENTS OF DEFAULT

21.1 Monetary Default. The occurrence of any of the following shall constitute a "Monetary Default":

- Tenant fails to pay Base Rent, Percentage Rent, or NNN Pro-Rata Park Charges within ten (10) days of the due date.
- Tenant fails to replenish the **$25,000,000.00 Letter of Credit** within fifteen (15) days after any draw by Landlord.

21.2 Non-Monetary Default. The occurrence of any of the following shall constitute a "Non-Monetary Default":

- **Operational Violation:** Failure to maintain the "Urban Market" format, or transitioning to a "Big Box" or "Discount" warehouse model without prior written consent.

- **Landmark Neglect:** Failure to address structural shifting in the northwest corner or masonry decay within the timeframe specified by the Landmarks Preservation Commission (LPC).
- **Fulfillment Overload:** Exceeding the daily limit of 4,500 automated fulfillment orders, causing traffic congestion on Water Street.
- **Public Use Breach:** Failure to provide the Tobacco Warehouse to the Cultural Sub-Tenant at the $0.00 rental rate required in Article 15.

ARTICLE 22: REMEDIES AND TERMINATION

22.1 Landlord's Right to Terminate. Upon an Event of Default and the expiration of all applicable cure periods, Landlord may terminate this Lease and re-enter the Premises. Due to the 99-year term, Tenant shall remain liable for the "Accelerated Rent" (the present value of all future rent due) minus the fair market rental value of the Premises for the remainder of the term.

22.2 Injunction and Specific Performance. Given the unique, irreplaceable nature of the historic Empire Stores, Landlord shall be entitled to seek an injunction to prevent Tenant from performing any work that violates landmark standards, or specific performance to compel Tenant to perform required structural stabilization.

ARTICLE 23: LANDLORD'S SELF-HELP RIGHTS

23.1 Emergency Intervention. If Tenant fails to perform any repair necessary to prevent "Immediate Threat to Public Safety" or "Irremediable Damage to Historic Fabric," Landlord may enter the Premises with forty-eight (48) hours' notice (or without notice in an emergency) to perform such work.

23.2 Reimbursement and Surcharge. Walmart shall reimburse Landlord for all costs associated with Self-Help, including the cost of specialized conservators, plus an **Administrative Surcharge of 20%**. Failure to pay this reimbursement within thirty (30) days shall constitute an additional Monetary Default.

ARTICLE 24: TENANT'S CURE RIGHTS

24.1 Standard Cure Period. Tenant shall have thirty (30) days to cure a Non-Monetary Default.
24.2 Extended Cure for Landmark Work. If a default involves specialized historic restoration (e.g., sourcing matching schist or timber) that cannot be completed in 30 days, Walmart shall not be in default so long as it has:

- Commenced the cure within the 30-day period.
- Provided Landlord with a detailed "Restoration Schedule" approved by a preservation architect.
- Diligently prosecuted the work to completion.

ARTICLE 25: WAIVER OF REDEMPTION

25.1 Tenant hereby waives any right of redemption or re-entry granted by any present or future law in the event Tenant is dispossessed by a judgment or warrant of any court or judge.

COMMERCIAL LEASE AGREEMENT (Section 7 of 12)

This section details the protocols for the expiration of the lease in 2125, focusing on the return of a century-old rehabilitated asset to the Public Trust and the penalties for failing to vacate a landmarked park site.

ARTICLE 26: SURRENDER OF PREMISES

26.1 End of Term Surrender. Upon the expiration of the 99-year term on June 30, 2125, Tenant (Walmart) shall peaceably surrender the Empire Stores and the Tobacco Warehouse to Landlord. The Premises must be returned in a condition consistent with the "Regenerative Urban Hub" standards maintained throughout the term, subject to "Ordinary Wear and Tear."

26.2 Structural Certification. No later than eighteen (18) months prior to the expiration date, Tenant shall, at its expense, provide Landlord with a "Structural Integrity Report" prepared by a New York State licensed professional engineer specializing in historic masonry. This report must certify:

- The stability of the northwest corner (Building 7).
- The moisture-tight integrity of the schist and brick exterior.
- The load-bearing capacity of all floor plates.

26.3 Transition of Improvements. All permanent improvements made by Walmart—including the geothermal heat pump system, the rooftop solar array (if still functional), and the interior "glass box" pavilion within the Tobacco Warehouse—shall become the property of the Landlord without compensation to Tenant.

26.4 Removal of Specialized Equipment. Walmart shall remove all branded signage and "proprietary technology," including the automated micro-fulfillment robotics and digital retail kiosks. Any damage caused by the removal of such heavy robotics must be repaired to "Vanilla Box" standards prior to surrender.

ARTICLE 27: HOLDOVER

27.1 Tenancy at Sufferance. If Walmart remains in possession of the Premises after the expiration of the Term without a written extension, such occupancy shall be deemed a "Tenancy at Sufferance."

27.2 Holdover Rent. Given the municipal and park-related nature of the site, holdover penalties are substantial to prevent interference with future public planning. Tenant shall pay Base Rent during the holdover period at **250% of the final year’s Base Rent**.

27.3 Consequential Damages. Tenant shall be liable for all consequential damages incurred by the Brooklyn Bridge Park Corporation, including the loss of subsequent tenant revenue or the delay of planned park-wide capital improvements.

ARTICLE 28: CLEANING AND DEBRIS

28.1 Final Walkthrough. A final inspection shall be conducted by Landlord and Tenant thirty (30) days prior to the Surrender Date. **28.2 Environmental Close-Out.** Walmart must provide a "Negative Declaration" or "Environmental Closure Report" certifying that the 99-year operation of a logistics and retail hub has not resulted in new sub-surface contamination.

ARTICLE 29: FIXTURES AND PERSONALTY

29.1 Abandonment. Any items of personal property remaining in the Empire Stores ten (10) days after the Surrender Date shall be deemed abandoned. Landlord may dispose of such property, including any abandoned "Walmart Urban Market" refrigeration units or shelving, at Tenant’s sole cost.

ARTICLE 30: RIGHT OF FIRST REFUSAL (ROFR)

30.1 Scope of Right. During the first fifty (50) years of the Lease Term, Landlord hereby grants to Tenant (Walmart) a Right of First Refusal ("ROFR") to lease any additional commercial development parcels within the **Brooklyn Bridge Park Block 26** footprint should Landlord elect to offer such parcels for private commercial use.

30.2 Expansion for "Walmart Health" or "Fulfillment". This ROFR is specifically intended to allow Walmart to expand its community health clinics or automated logistics footprint if the initial Empire Stores capacity is exceeded.

30.3 Exercise of Right. Upon receipt of a bona fide third-party offer for an eligible parcel, Landlord shall notify Tenant. Tenant shall have ninety (90) days to match the material terms of said offer. If Tenant fails to exercise the ROFR within this period, Landlord may proceed with the third party, provided the terms are not more favorable than those offered to Tenant.

ARTICLE 31: SUBORDINATION, NON-DISTURBANCE, AND ATTORNMENT (SNDA)

31.1 Subordination to Master Park Lease. Tenant acknowledges that this Lease is subject and subordinate to the Master Ground Lease between the City of New York and the Brooklyn Bridge Park Corporation.

31.2 Non-Disturbance Agreement. Landlord shall provide Tenant with a "Non-Disturbance Agreement" from any mortgagee or ground lessor. This agreement shall guarantee that as long as Walmart is not in default, its 99-year possession of the Empire Stores and Tobacco Warehouse shall not be terminated or disturbed by a foreclosure or "termination of the master lease" by the City.

31.3 Attornment. In the event of a change in park management or ownership (e.g., the dissolution of the Development Corporation), Tenant shall "attorn" to the successor entity, recognizing them as the new Landlord under the same terms and conditions.

ARTICLE 32: LEASEHOLD MORTGAGES

32.1 Right to Encumber. Given the **$152,500,000.00** capital investment required, Tenant (Walmart) has the absolute right to mortgage its leasehold interest to any "Institutional Lender." **32.2 Protection of Leasehold Mortgagee.** Landlord agrees that no modification or voluntary surrender of this Lease shall be valid without the prior written consent of Tenant's primary lender. **32.3 Notice of Default to Lender.** Landlord shall provide Tenant's lender with a duplicate copy of any "Notice of Default." The lender shall have an additional sixty (60) days beyond Tenant's cure period to remedy any default before Landlord may terminate the Lease.

ARTICLE 33: ESTOPPEL CERTIFICATES

33.1 Tenant Obligation. Within fifteen (15) days of a request by Landlord, Tenant shall execute a "Tenant Estoppel Certificate." This document is critical for Landlord's ability to secure municipal bonds or public funding for the park, confirming that Walmart is in possession, paying rent, and has no current claims against the Landlord.

ARTICLE 34: CASUALTY AND RESTORATION

34.1 Mandatory Restoration. In the event of damage to the Empire Stores or Tobacco Warehouse by fire, flood, or other casualty, this Lease shall not terminate. Tenant (Walmart) shall, at its sole cost and expense, promptly restore the Improvements to a condition at least equal to their "As-Complete" state.

34.2 Restoration of Historic Shell. Tenant acknowledges that the 19th-century schist and brick walls are irreplaceable. Restoration must utilize "like-kind" historic materials. If the historic walls are compromised, Walmart must engage a preservation engineer to perform a structural reconstruction that satisfies the Landmarks Preservation Commission (LPC).

34.3 Restoration Escrow. All insurance proceeds (as required in Article 11) shall be deposited into a "Restoration Escrow Account" managed by a third-party fiduciary.

- **Disbursements:** Funds shall be released to Walmart in progress payments as milestones of the reconstruction are met.
- **Shortfall:** If insurance proceeds are insufficient to cover the specialized costs of landmark restoration, Walmart shall be responsible for the "Gap Funding" to ensure the project is completed.

ARTICLE 35: CONDEMNATION (EMINENT DOMAIN)

35.1 Total Taking. If the entire Premises are taken by a government entity for a use that precludes Walmart's operations, this Lease shall terminate as of the date of the taking. **35.2**

Partial Taking. In the event of a partial taking (e.g., the City taking a portion of the land for a new ferry terminal or park expansion), the Lease shall remain in effect. Base Rent shall be reduced by a percentage equal to the "Value Loss" of the Premises as determined by an independent M.A.I. appraiser.

35.3 Allocation of Award.

- **Landlord's Share:** The value of the fee simple land and the "Reversionary Interest" in the buildings.
- **Tenant's Share:** The value of the leasehold estate, including the unamortized portion of Walmart's **$152,500,000.00** capital investment and the value of the automated fulfillment machinery.

ARTICLE 36: FLOOD RECOVERY PROTOCOLS

36.1 Post-Flood Inspection. Following any East River flood event where water exceeds the 5-foot historical surge level, Walmart must perform a "Structural Integrity Audit" within forty-eight (48) hours to ensure the foundation stability of the Empire Stores has not been compromised by scour or hydrostatic pressure. **36.2 Rapid Retail Re-opening.** To maintain the "Public Benefit" of the grocery market, Walmart shall maintain a "Rapid Recovery Plan," ensuring that the "Urban Market" is cleaned, sanitized, and re-opened to the public within seven (7) days of any flood event.

COMMERCIAL LEASE AGREEMENT (Section 10 of 12)

This section outlines the liability protections and the social/ethical mandates required for a high-profile municipal lease. As a tenant of a public park, Walmart must adhere to New York City's rigorous standards for equitable contracting and public safety.

ARTICLE 37: INDEMNIFICATION AND HOLD HARMLESS

37.1 Tenant's Primary Indemnity. To the maximum extent permitted by law, Tenant (Walmart) shall indemnify, defend, and hold harmless the Landlord, the Brooklyn Bridge Park Corporation, and the City of New York (the "Indemnitees") from and against any and all claims, suits, and liabilities arising from:

- **The Operation of the Hub:** Any accidents or injuries occurring within the "Walmart Urban Market" or the automated fulfillment center.
- **Logistics Incidents:** Claims arising from the operation of Walmart's "Last-Mile" EV fleet within the boundaries of Brooklyn Bridge Park.
- **Construction Liability:** Any mechanics' liens or personal injury claims arising during the **$152.5M renovation** phase.

37.2 Environmental Indemnity. Consistent with Article 9, Walmart provides a specific indemnity for any "New Contamination" introduced to the site during its 99-year tenure, including leakages from logistics equipment or specialized cooling systems.

ARTICLE 38: M/WBE AND EQUAL OPPORTUNITY COVENANTS

38.1 M/WBE Participation Goals. Because the Premises are owned by a state-subsidiary (ESD), Walmart agrees to a "Good Faith Effort" to achieve a **30% participation goal** for Minority and Women-owned Business Enterprises (M/WBE) for all construction and professional service contracts related to the renovation.

38.2 Local Hiring Preference. Walmart shall implement a "Brooklyn First" hiring initiative for the 450+ permanent jobs created by the Urban Market and Regional HQ, with a specific focus on residents of the nearby NYCHA Farragut, Whitman, and Ingersoll Houses.

38.3 Living Wage Compliance. All employees of Walmart and its sub-tenants at the Premises shall be paid in accordance with the **New York City Fair Wage Act**. Walmart acknowledges that this may exceed its national "starting wage" standards.

ARTICLE 39: PUBLIC ACCESS AND SAFETY

39.1 Pedestrian Pathway (Old Dock Street). Walmart shall maintain the 8,637± square foot Pedestrian Pathway as a public thoroughfare 24 hours a day.

- **Lighting:** Walmart must provide "Park-Standard" LED lighting that ensures safety without contributing to light pollution for neighboring DUMBO residential lofts.
- **Security:** Walmart’s private security shall coordinate with the Brooklyn Bridge Park security and the NYPD 84th Precinct to ensure the pathway remains a safe corridor for park visitors.

ARTICLE 40: ACCESSIBILITY (ADA COMPLIANCE)

40.1 Universal Design. The renovation must meet or exceed the **Americans with Disabilities Act (ADA)** standards.

- **The Tobacco Warehouse:** The glass-enclosed pavilion must be fully accessible, featuring tactile wayfinding for the visually impaired and ramped access that integrates seamlessly with the historic schist floors.
- **Retail Navigation:** The "Walmart Urban Market" shall utilize "Universal Design" principles, ensuring wide aisles and accessible checkout counters that accommodate all park visitors.

ARTICLE 41: SECURITY DEPOSIT AND LETTER OF CREDIT

41.1 Amount of Security. Upon execution, Tenant (Walmart) shall provide a Security Deposit in the amount of **TWENTY-FIVE MILLION DOLLARS ($25,000,000.00)**. This represents approximately 18 months of the stabilized Base Rent and NNN obligations.

41.2 Form of Security. The security shall be delivered as an **Irrevocable Standby Letter of Credit (LOC)** issued by a "Top-Tier" financial institution (e.g., Bank of America or Wells Fargo). The LOC must be "evergreen," meaning it automatically renews annually unless the issuer provides 60 days' notice of non-renewal.

41.3 Drawdown Rights. Landlord may draw upon the LOC without further notice to Walmart if:

- Rent remains unpaid beyond the 10-day grace period.
- Walmart fails to perform an "Emergency Landmark Repair" under the Self-Help provisions of Article 23.
- Walmart fails to pay its share of the Park's Operating Expenses, threatening the park's municipal bond rating.

ARTICLE 42: GOVERNING LAW AND JURISDICTION

42.1 Choice of Law. This Lease and the relationship between the parties shall be governed by the **Laws of the State of New York**, without regard to conflict of laws principles.

42.2 Exclusive Venue. The parties agree that any litigation arising from this Lease shall be filed exclusively in the **Supreme Court of the State of New York, County of Kings (Brooklyn)**. Walmart specifically waives any right to remove a case to Federal Court or to a venue in the State of Arkansas.

ARTICLE 43: DISPUTE RESOLUTION (THE "BROOKLYN PROTOCOL")

43.1 Mandatory Executive Meeting. Before any legal filing, the CEO of Walmart (or a designated Executive Vice President) and the President of the Brooklyn Bridge Park Corporation must meet in person at the Empire Stores to attempt a good-faith resolution of the dispute.

43.2 Technical Arbitration. For disputes involving "Landmark Restoration Standards" or "Marine Engineering," the parties shall appoint a single independent arbitrator who is a Fellow of the **American Institute of Architects (AIA)** with expertise in historic preservation. The arbitrator's decision on technical restoration methods shall be final and binding.

ARTICLE 44: NOTICES AND COMMUNICATIONS

44.1 Official Address. All legal notices must be sent via a recognized overnight courier (ironically, while Walmart is the tenant, UPS or FedEx are acceptable) to:

- **To Landlord:** Brooklyn Bridge Park Development Corp., 1 Centre St, New York, NY 10007.

- **To Tenant:** Walmart Inc., Attn: Real Estate Legal Dept, 702 S.W. 8th Street, Bentonville, AR 72716.

COMMERCIAL LEASE AGREEMENT (Section 12 of 12)

This final section addresses the "Memorandum of Lease" for public notice, "Force Majeure" protections for unforeseen delays, and the formal execution of this 99-year agreement.

ARTICLE 45: MEMORANDUM OF LEASE

45.1 Public Recording. The parties shall not record this entire Lease Agreement. Simultaneously with the execution of this Lease, Landlord and Tenant shall execute a "Memorandum of Lease" in recordable form. **45.2 Constructive Notice.** Tenant shall, at its sole cost, record this Memorandum in the Office of the City Register of the City of New York (Kings County). This ensures that Walmart's leasehold interest and its **$152.5M investment** are public record, protecting the interest against any future sales or encumbrances of the park land.

ARTICLE 46: FORCE MAJEURE

46.1 Defined Events. Neither party shall be liable for delays in performance caused by "Force Majeure," including:

- Acts of God (specifically catastrophic East River storm surges exceeding 100-year flood levels).
- Pandemics resulting in government-mandated construction stoppages.
- Unforeseen shortages of "Historic-Compliant" materials (e.g., matching schist from the original quarry).
- Civil unrest or war. **46.2 Financial Exception.** Force Majeure shall **not** excuse Walmart from the obligation to pay Base Rent or Taxes once the "Urban Market" has opened for business, regardless of external economic conditions.

ARTICLE 47: BROKERAGE

47.1 Mutual Warranty. Landlord and Tenant warrant that no real estate broker or finder was involved in the negotiation of this Lease. Each party agrees to indemnify the other against any third-party claims for commissions.

ARTICLE 48: ENTIRE AGREEMENT AND MODIFICATION

48.1 Integration. This Lease, including the referenced 2013 Goodman-Marks Appraisal and the 2005 AKRF Environmental Reports, constitutes the entire agreement. **48.2 Written Amendments.** No modification of this Lease shall be effective unless it is in writing and signed by the Executive Director of the Park and an authorized officer of Walmart Inc.

EXECUTION PAGE

IN WITNESS WHEREOF, the Landlord and Tenant have caused this Lease to be executed as of the **11th day of March, 2026**.

LANDLORD: BROOKLYN BRIDGE PARK DEVELOPMENT CORPORATION

By: ____________________________

Name: Charles R. Kamps

Title: Executive Director

TENANT: WALMART INC.

By: ____________________________

Name: Doug McMillon

Title: Chief Executive Officer

APPROVED AS TO FORM: By: ____________________________

Office of the Corporation Counsel, City of New York

NOTARY ACKNOWLEDGMENTS

STATE OF NEW YORK) COUNTY OF KINGS) ss.:

On the 11th day of March in the year 2026, before me personally appeared **Doug McMillon**, to me known, who, being by me duly sworn, did depose and say that he is the CEO of Walmart Inc., the corporation described in and which executed the above instrument.

Notary Public